

GEICO Commercial Underwriting Outliers

Trucking



What are Underwriting Outliers?

Underwriting outliers are important scenarios you will encounter while writing commercial truck policies that if not addressed, could lead to premium updates, renewals, or policy cancellation.

Underwriting Actions

When a policy is flagged by underwriting, our underwriting team will notify both the customer and agent of the next steps via USPS and the GEICO Gateway Dashboard, respectively. If necessary, proof will be requested to verify the policy has been rated correctly. Depending on the scenario and whether sufficient proof is provided, our underwriting team may choose to maintain the current policy, update it accordingly, or cancel it.

Variable	Why it's Important	Underwriting Flags	Documents Acceptable for Proof	Agent Best Practices
Agent of Record (AOR)	Agent of Record requests are reviewed when: - Agent is no longer licensed to service insured's policy or no longer operates at their agency (this includes loss of license or death). - Agency is unresponsive to any form of communication. Named insured will call customer service at 855-717-4841 to explain the reason for change needs and request the AOR form.			
All Commercially Owned and Operated Vehicles (ACOOV)	We audit truck policies with an active USDOT and intrastate or interstate operating authority filing for ACOOV because issuing the filing certifies that GEICO will pay claims for which the insured is liable, up to the liability amount of the filing. As the insurer, GEICO provides primary liability coverage on the vehicles that are listed on the policy. GEICO may have to cover losses by other vehicles that run under the insured's authority, even if they're not listed.	- VINs listed on policy differ from the safety and fitness electronic records (SAFER) reporting at new business or renewal. - When reviewing the inspection history, the vehicle was not listed at time of inspection. - When reviewing the crash history, the vehicle was not listed at time of accident.	- Lease term - Bill of sale	- Confirm the insured does not lease or hire their equipment or drivers out to other carriers. - Verify the insured does not share vehicles or a filing with another entity or trucking company. - If the number of power units differs from what the insured has indicated vs what's reported in SAFER, agent should obtain proof. - Communicate with the insured the importance of adding vehicle(s) to the policy prior to operating under their authority.

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Body Type	Rates vary depending on the type of vehicle. A vehicle's gross vehicle weight (GVW) impacts rate because it can represent different liability exposures. For pricing stability, vehicles need to be listed correctly on the policy.	- Tractors rated as box trucks, flat beds, or stake bed trucks. - Illogical trailer to power unit combinations. - Example: Tractor and trailer combination rated for agriculture when using dirt, sand, and gravel trailer.	Photos of vehicle	- Ask for specific information about the vehicles to be listed on the policy, including type, make, model, and GVW. - If the vehicle is a large truck, ask about inspection history, then confirm in safety measurement system (SMS) and SAFER. - When in doubt always ask for photos.
Business Type	Choosing the correct business type ensures premium accuracy based on exposure.	- Illogical body type based on operations or commodities hauled (including power unit and trailers). - Business name keyword search indicates illogical business class.	- Bill of lading - Photos of vehicle	- Confirm though SAFER if risk is listed as for hire and hauls commodities. If the insured indicates they haul goods for a fee, the risk needs to be rated as for hire. - Choose the appropriate business type based on information you collect from the computer as well as available public data sources including Google search results and social media. When the customer indicates they have split business operations, ask them which operation the business will generate most of its revenue and choose that option. - Review the business name for keywords like transport, trucking, logistics, hauling, shipping, carrier, and freight because these are synonymous with trucking operations.
Chameleon Carriers (CAMO)	Chameleon carriers are companies that recreate themselves to look like a new venture to hide from a poor safety history to obtain insurance or a more favorable rate. GEICO will not do business with CAMO companies.	- United States Department of Transportation (USDOT) identified by USDOT number as not registered or active. - USDOT number was previously cancelled by underwriting.	N/A	- Become familiar with SAFER and SMS to use as a resource when quoting. This includes insurance and authority history. - Ask about current insurance carrier, why they are seeking a new policy, and new broker or agent. If there's a lapse in coverage or the previous policy was cancelled, this could indicate an adverse risk we do not want.

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Driver/Vehicle Ratio	There are instances where the number of drivers does not align with the number of vehicles. When this happens, GEICO may not be getting the necessary premium based on true exposure of the risk.	Misalignment between drivers and vehicles.	N/A	If the driver to vehicle ratio is off, understand the discrepancy, document the customer's file, and confirm the explanation is acceptable.
Financial Responsibility	Financial responsibility (FR) or credit score is a rating variable in the calculation of premium. The agent indicates in the quote flow the individual on whom FR should be ordered. Guidelines specifically state that there should only be one individual for every policy for who credit can be ordered.	- Numerous quote iterations for same risk. - Ordering FR on the spouse for sole proprietorships, drivers who are not the owner, or an officer of a corporation who is not the CEO/owner. - Ordering FR multiple times on the same individual and changing the date of birth or other fields to get a hit on a different person who has the same name and better credit.	- Sole proprietorship: Owner's tax return with Schedule C or copy of DBA - Partnership: Partnership agreement - Corporations: Operating agreement or articles of incorporation	- Understand ownership of the company. - Never order FR on more than one individual for the same business. - When the business has multiple owners, always order FR on the individual who owns the majority. If 50/50, always order FR on the individual who manages the day-to-day operations of the business.
Proof of Garaging (POGA)	GEICO evaluates all policies for accuracy of garaging ZIP code to ensure the policy is rated correctly.	Mismatch of garaging and mailing ZIP codes.	- Parking lease - Rental agreement - Signed letter from property owner - Mortgage or tax documents - Two utility bills	- Gather current mailing address. - Obtain the address the vehicles are parked overnight and property type. - Ask insured: "Should GEICO conduct an underwriting audit; can you prove validity of your garaging ZIP?" "What proof can you provide?"

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Radius	Selecting the correct radius ensures premium accuracy based on exposure.	- Radius between USDOT inspection location and garaging address location (if possible) exceeds listed radius on two or more inspections. - Distance between claim location and garaging address location exceeds listed radius. - Multiple radiuses quoted for the vehicles on the policy and lowest radius was selected. - Telematics driving data indicates longer radius of operation (longer term).	- International Fuel Tax Agreement (IFTA) for the previous 3 months - Telematics data	- Confirm the number of annual miles aligns with the radius provided. - Review SMS for inspection history outside of given radius. - Obtain the insured's regular route along with the states they drive in. - Collect the last 3 years of IFTA's if the stated radius is in question. - Determine if the insured uses a bidding process or contractual arrangement to obtain loads. - Review the claims history to understand where accident(s) have occurred. - When conducting annual review on renewals, always ask insured about change in operations, radius, and verify inspection history in SMS.
Rapid Growth	Policies that have less than one year of tenure that grow vehicle count can create instabilities which results in higher propensity for loss.	- Insureds with an active USDOT number less than 1 year and inside of their first policy term increase their vehicle count by more than 2. - Any tenured USDOT or non-DOT risk that adds more than 4 vehicles in a policy term.	N/A	Probe for potential vehicle growth over the next 3, 6, and 12 months.
Unlisted Drivers (ULD)	Agents are expected to list all individuals who drive or may drive any vehicle insured under the policy as drivers. Not listing all drivers or hiding drivers with MVR violations can create premium deficiencies and hinder a claims investigation in the event a claim is filed.	History of ULD claims.	Termination of resignation letter	- If the driver to vehicle ratio is off, understand the discrepancy, document the customer's file, and confirm the explanation is acceptable. - Whenever communicating with the insured, confirm no driver changes have occurred after the policy has started and document your findings on the policy. - Obtain an updated drivers list at every renewal and provide a confirmation email to the insured of all drivers listed on the policy regardless if a change occurs or not.

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USDOT Number Not Listed	Obtaining a current USDOT number has rating implications based on safety score. Insured who are in the process of obtaining a USDOT number will be viewed as a new venture and priced accordingly.	N/A	N/A	- Look up the companies' name with SAFER and SMS to identify potential USDOT number. - Probe for customers' trucking experience and USDOT history to uncover inconsistencies with exposure information.



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